BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) No.18/ALD/2023
(2nd Motion)

Under Sections 230 and 232 of the Companies Act, 2013 read with Rule 15(1) of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions of the Companies Act, 2013

In the matter of Scheme of Amalgamation of:

1. **ASTHA TRADECO INDIA PRIVATE LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at 7/158 A, Swaroop Nagar, Kanpur - 208002 (U.P.) having Corporate Identification Number U51109UP1986PTC008450 within the jurisdiction of this Tribunal.

..... Petitioner/Transferor Company No. 1

AND

2. **THE CITI CLUB PRIVATE LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at 84/79, G.T. Road, Kanpur - 208003 (U.P.) having Corporate Identification Number

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U55101UP1992PTC014306 within the jurisdiction of this Tribunal.

..... Petitioner/Transferor Company No. 2

AND

3. **CHEMI CHROME INDUSTRIES PRIVATE LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at 84/79, G.T. Road, Kanpur - 208003 (U.P.) having Corporate Identification Number U24222UP1965PTC003099 within the jurisdiction of this Tribunal.

..... Petitioner/Transferee Company

ORDER PRONOUNCED ON: 12TH MARCH, 2024

CORAM:

Shri Praveen Gupta : Member (Judicial)

Shri Ashish Verma : Member (Technical)

For the Petitioners:

Sh. Shashi Kant Gupta, PCS.	: *For the Petitioner*
Sh. Shivendra Bahadur Singh, CGSC	: *For the RoC*
Sh. Niraj Kumar Singh, Proxy for Sh. Gaurav Mahajan, Sr. S.C.	: *For the I.T. Deptt.*
Sh. Ajit Kumar Singh, AOL	: *For the O.L. Alld*

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ORDER

1. The present Joint Company Petition is filed by the Petitioner Companies above named under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions, if any, for sanction of the Scheme of Amalgamation (hereinafter referred to as the 'Scheme') for Amalgamation of **Astha Tradeco India Private Limited** (Petitioner/Transferor Company No. 1), **The Citi Club Private Limited** (Petitioner/Transferor Company No. 2) with **Chemi Chrome Industries Private Limited** (Petitioner/Transferee Company) (collectively referred to as 'Petitioner Companies').

2. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows:

(i) The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Petitioner Companies in their respective Board Meetings held on 15th May, 2023.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as

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on 31st March, 2023 is described in the present Company Petition.

(iii) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

2.1 The Scheme of Amalgamation provides for Amalgamation of Astha Tradeco India Private Limited (Petitioner/Transferor Company No. 1), The Citi Club Private Limited (Petitioner/Transferor Company No. 2) with Chemi Chrome Industries Private Limited (Petitioner/Transferee Company) pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and rules made thereunder.

Rationale for Merger

(i) The Transferor Companies and the Transferee Company have common control, common management, common place of business, common fund management and common group administration. The amalgamation will result in simplification of corporate structure by reducing the number of legal entities, rationalization of group

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shareholding pattern and reorganizing the legal entities in the group structure;

(ii) The amalgamation would integrate the business synergies and reap the benefit of consolidation through focused management, generating surplus funds to enable planning for further growth in business;

(iii) The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The consolidated Company with far enlarged asset base, higher profitability and net worth will be better placed to access low cost fund for its expansion and diversification requirements;

(iv) The amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Amalgamating Companies and will avoid duplication of administrative functions and eliminate multiple record keeping.

2.2 In consideration of the above mentioned business rationale and related benefits, this Scheme of Amalgamation

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between Astha Tradeco India Private Limited (Petitioner/Transferor Company No. 1), The Citi Club Private Limited (Petitioner/Transferor Company No. 2) and Chemi Chrome Industries Private Limited (Petitioner/Transferee Company) is propounded in accordance with the terms set out in the Scheme of Amalgamation. The Board of Directors of the Petitioner Companies are of the opinion that the proposed Scheme is in the best interests of these Companies, their Shareholders and other Stakeholders.

3. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors

of the Petitioner Companies and the Petition is made *bona-fide* and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

6. It has been stated that the Petitioner/Transferee Company and the Petitioner/Transferor Companies No. 1 and 2 are engaged in similar and allied business and there exists business and operational synergies in the amalgamation of the Petitioner/Transferor Companies with the Petitioner/Transferee Company. The Petitioner/Transferor Companies and No. 1 and 2 and the Petitioner/Transferee Company are closely held Private Limited Companies and their Equity Shares are not listed on any Stock Exchange. Further, the Petitioner/Transferor Company No. 1 is an Associate Company of the Citi Club Private Limited (Petitioner/Transferor Company No. 2) and Chemi Chrome Industries Private Limited (Petitioner/Transferee Company) and it is also stated that all the Petitioner Companies are under common management and control.

7. The Petitioner Companies have annexed the Share Exchange Ratio Report dated 11th May, 2023 given by CS Mallika Goel,

a Registered Valuer for Securities and Financial Assets (Registration No. IBBI/RV/11/2022/14784), registered with the Insolvency and Bankruptcy Board of India (IBBI). As per the said Report, the Petitioner/Transferee Company shall, without any further act or deed, issue and allot to each member of the Petitioner/Transferor Companies, whose name is recorded in the Register of Members as on the Record Date, Equity Shares in the following proportion:

Name of the Transferor Company	**No. of New Equity Shares to be issued by Petitioner/Transferee Company to the members of the Petitioner/Transferor Companies**
Astha Tradeco India Private Limited (Petitioner/Transferor Company No. 1)	5 (Five) Equity Shares of Rs.1000/- each credited as fully paid-up in the Transferee Company for every 1,000 (One Thousand) Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Petitioner/Transferor Company No. 1.

The Citi Club Private Limited (Petitioner/Transferor Company No. 2)	123 (One Hundred and Twenty Three) Equity Shares of Rs.1,000/- each credited as fully paid-up in the Transferee Company for every 1,000 (One Thousand) Equity Shares of Rs.100/- each fully paid-up held by such Equity Shareholder in Petitioner/Transferor Company No. 2.

8. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No. CA (CAA) No. 15/ALD/2023 seeking directions of this Tribunal to dispense with the requirement of convening the separate meetings of Secured Creditors and Unsecured Creditors of the Petitioner/Transferor Company No. 1, Petitioner/Transferor Company No. 2 and Petitioner/Transferee Company and the meetings of Preference Shareholders and to convene separate Meetings of the Equity Shareholders of the Petitioner/Transferor Companies and the Petitioner/Transferee Company. Accordingly, this Tribunal vide its order dated 14th day of July, 2023 allowed the above mentioned prayers and directed

to convene separate meetings of the Equity Shareholders of the Petitioner/Transferor Company No. 1 and 2 and also of the Petitioner/Transferee Company under the supervision of Mr. Shubham Agarwal, Advocate (Chairperson), Mr. Aman Dwivedi, Advocate (Co-Chairperson) and Ms. Monica Nanda, Practicing Company Secretary as the Scrutinizer on **Saturday, 16th September, 2023 at 11.00 A.M., 12.30 P.M. and 3.00 P.M.** respectively at the Registered / Corporate office of the Petitioner Companies at **84/79, G.T. Road, Kanpur - 208003 (Uttar Pradesh)** for the purpose of considering and, if thought fit, approving, the proposed Scheme of Amalgamation and dispensed with the requirement of convening separate meetings of Secured Creditors, Unsecured Creditors and Preference shareholders of the Petitioner/Transferor Company No. 1, Petitioner/Transferor Company No. 2 and Petitioner/Transferee Company. This Tribunal further directed to issue notice of the Company Application along with the Scheme of Amalgamation and related documents to the Statutory Authorities, viz. (a) the Central Government through the office of the Regional Director (Northern Region),

Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad and (d) the Income-Tax Department having jurisdiction over the Petitioner Companies.

9. A perusal of the present Petition discloses that in pursuance of the directions contained in Order dated 14th July, 2023, passed by this Tribunal in Company Application CA (CAA) No. 15/ALD/2023, separate meetings of the Equity Shareholders of the Petitioner/Transferor Companies and the Petitioner/Transferee Company were duly convened and held on Saturday, **16th September, 2023** in physical mode as per the following Schedule:

Sl. No.	**Particulars**	**Time**	**Place**	**Mode of Voting**
1.	Equity Shareholders of the Petitioner/Transferor Company No. 1	11.00 A.M.	At the Corporate office of the Company at 84/79, G.T. Road, Kanpur - 208003 (Uttar Pradesh)	Poll conducted at venue of the Meeting

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2.	Equity Shareholders of the Petitioner/Transferor Company No. 2	12.30 P.M.	At the Registered office of the Company at 84/79, G.T. Road, Kanpur - 208003 (Uttar Pradesh)	Poll conducted at venue of the Meeting
3.	Equity Shareholders of the Petitioner/Transferee Company.	3:00 P.M.	At the Registered office of the Company at 84/79, G.T. Road, Kanpur - 208003 (Uttar Pradesh)	Poll conducted at venue of the Meeting.

The Scheme of Amalgamation was considered and approved unanimously in the respective meetings of the Equity Shareholders of the Petitioner/Transferor Company No. 1, Petitioner/Transferor Company No. 2 and of the Petitioner/Transferee Company, without any modifications.

The Chairperson appointed for the meetings has filed his Reports on 27th September, 2023 which are enclosed as **Annexure No. P-16, P-17 and P-18** with the Petition.

10. Notice of the Company Application along with the Scheme of Amalgamation and related documents was also given to the Statutory Authorities viz; (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) Jurisdictional Income Tax Authority. The Petitioner Companies have filed Affidavit of Service of Company Application on 21st October, 2023.

11. This Tribunal vide its order dated 5th October, 2023 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "The Pioneer" (English) and "Rashtriya Sahara" (Hindi) newspapers having circulation in Kanpur in the State of Uttar Pradesh in which the Registered offices of the Petitioner Companies are situated.

12. In compliance thereof, the Petitioner Companies on 21st October, 2023 filed an Affidavit of service and publication, confirming that notices have been duly published in "The Pioneer" (English) and "The Rashtriya Sahara" (Hindi) newspapers having circulation in Kanpur the State of Uttar Pradesh in which the Registered office of the Petitioner Companies are situated. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur and (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income-Tax Department having jurisdiction over the Petitioner Companies; and (e) The Principal Chief Commissioner of Income-Tax, U.P. (East), Lucknow.

13. In response to the above stated notice, the Registrar of Companies, Ministry of Corporate Affairs, Uttar Pradesh submitted its Report dated 31st October, 2023 to the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi.

14. In response to the above stated notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi has filed his Representation Affidavit dated 8th December, 2023 ("RD Affidavit") citing observations made in the Report of the Registrar of Companies, Uttar Pradesh which as per the submissions made by the Counsel representing the Petitioner Companies were only factual statements and did not call for any further comments or explanation.

15. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad at Prayagraj, Uttar Pradesh has also submitted his Report on 19th December, 2023 and in Para 18 thereof it has been stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Companies without winding up pursuant to provisions of Sections 230 - 232 of the Companies Act, 2013 and rules thereunder.

16. In response to the service of Notice of Company Petition, the Income-Tax Department filed its Representation Affidavit Dt. 19th January, 2024 in respect of the Petitioner Companies stating that neither any proceedings nor any demand is outstanding against any of the Petitioner Companies.

17. The Petitioner Companies vide their Affidavit Dt. 29th January, 2024 furnished an undertaking to the effect that all the legal proceedings of whatsoever nature by and against Petitioner Transferor Companies, whether in relation to tax liabilities or other matters, pending or arising on and after the Appointed Date and relating to the period prior to the Appointed Date, shall not abate or be discontinued or be prejudicially affected by reason of the Scheme or by anything contained in the Scheme but shall be continued and enforced by or against the Petitioner Transferee Company in the manner and to the same extent as would or might have been continued and enforced by or against Petitioner Transferor Companies.

18. The representative of the Central Government present during the hearing while agreeing to the submissions made by the Petitioner Companies conveyed no objection to the proposed Scheme of Amalgamation.

19. The Petitioner Companies on 4th January, 2024 have also filed an Affidavit confirming that neither the Petitioner Companies nor their Legal Counsel has received any objection/representation from any person against the

Company Petition or the proposed Scheme of Amalgamation in response to the publication of the notice of hearing of the present Petition in newspapers.

20. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad and the Income-Tax Department having jurisdiction over the Petitioner Companies and after perusing the same and hearing the submissions made by the Ld. Counsel representing the Petitioner Companies, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme of Amalgamation is not against public policy, nor it would be prejudicial to the public interest at large.

21. In addition to above, all the statutory compliances seem to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

22. As a result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned and the same shall be binding on all the

Shareholders, Creditors and other Stakeholders of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the 'Appointed Date' i.e. 1st April, 2023. The Petitioner Companies are required to act upon as per the terms and conditions of the sanctioned Scheme of Amalgamation.

23. While approving the Scheme of Amalgamation as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, as applicable), taxes (including Income-Tax, GST or other charges, if any, as applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law.

24. THIS TRIBUNAL DO FURTHER ORDER:

i. Upon the Scheme becoming effective, all the property, rights and powers of the Petitioner/Transferor Company No. 1 and 2 specified in the Schedule annexed hereto and all other property, rights and powers of the Petitioner/Transferor Company No. 1 and 2 be transferred, without further act or deed, to the Petitioner/Transferee Company and

accordingly, the same shall, pursuant to Sections 230 and 232 of the Companies Act, 2013, be transferred to and vested in the Petitioner/Transferee Company for all the estate and interest of the Petitioner/Transferor Company No. 1 and 2 therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties of the Petitioner/Transferor Company No. 1 and 2 be transferred, without further act or deed, to Petitioner/Transferee Company and accordingly, the same shall pursuant to Sections 230 and 232 of the Companies Act, 2013 become the liabilities and duties of the Petitioner/Transferee Company; and

iii. Upon the Scheme becoming effective, all the employees of the Petitioner/Transferor Company No. 1 and 2 in service on the Effective Date, shall be transferred to and shall become the employees of the Petitioner/Transferee Company as provided in the Scheme of Amalgamation;

iv. Upon the Scheme becoming effective, all proceedings now pending by or against the Petitioner/Transferor Company No. 1 and 2 be continued and enforced by or against the

Petitioner/Transferee Company; and

25. Upon the coming into effect of the Scheme, and in consideration for the transfer of and vesting of all the said properties, assets and liabilities of the Petitioner/Transferor Company No. 1 and 2 to the Petitioner/Transferee Company in terms of this Scheme, the Petitioner/Transferee Company shall, without any further act or deed, issue and allot to each member of the Petitioner/Transferor Companies, whose name is recorded in the Register of Members as on the Record Date, the Equity Shares as per the Share Exchange Ratio determined by CS Mallika Goel, a Registered Valuer for Securities and Financial Assets (Registration No. IBBI/RV/11/2022/14784) vide Report dated 11th May, 2023 in the following proportion:

Name of the Transferor Company	**No. of New Equity Shares to be issued by Petitioner/Transferee Company to the members of the Petitioner/Transferor Companies**

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Astha Tradeco India Private Limited (Petitioner/Transferor Company No. 1)	5 (Five) Equity Shares of Rs.1000/- each credited as fully paid-up in the Transferee Company for every 1,000 (One Thousand) Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Petitioner/Transferor Company No. 1.
The Citi Club Private Limited (Petitioner/Transferor Company No. 2)	123 (One Hundred and Twenty Three) Equity Shares of Rs.1,000/- each credited as fully paid-up in the Transferee Company for every 1,000 (One Thousand) Equity Shares of Rs.100/- each fully paid-up held by such Equity Shareholder in Petitioner/Transferor Company No. 2

26. The Petitioner Companies shall within thirty days of the date of the receipt of certified copy of this Order cause a copy of this order delivered to the Registrar of Companies, Uttar Pradesh for registration and on such certified copy being so delivered, the Petitioner/Transferor Company No. 1 and 2 shall stand dissolved without undergoing the process of winding up and the Registrar of Companies, Uttar Pradesh shall place all documents relating to the Petitioner/Transferor Company No. 1 and 2 in the file maintained in relation to the Petitioner/Transferee Company and the file relating to the said Petitioner/Transferor Company No. 1 and 2 shall be consolidated accordingly.

27. The Petitioner Companies shall supply legible print outs of the Scheme of Amalgamation and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

28. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

29. That the Resulting Company shall deposit an amount of Rs. 25,000/- (Rupees Twenty Five Thousand Only) in favour of

"The Ministry of Corporate Affairs" within a period of four weeks from the date of receipt of the certified copy of this order and file affidavit of compliance thereof.

30. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the Scheme of Amalgamation duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

31. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

32. Accordingly, the present Company Petition bearing CP (CAA) No. 18/ALD/2023 is allowed and stands disposed of.

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(Ashish Verma)
Member (Technical)

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(Praveen Gupta)
Member (Judicial)